Liebherr Group – Speaker notes

HAT1 Financial Reporting · 12 slides · planned speaking time 9:40 min · 1438 words of notes (≈ 130 words per minute)

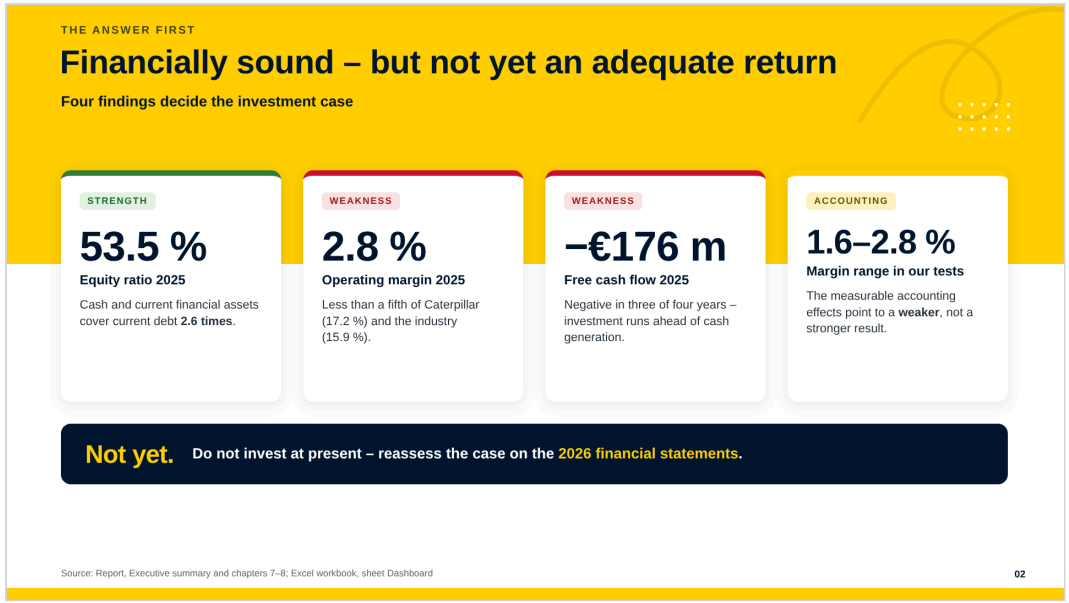
Red line: **Should a long-term investor take a minority stake in Liebherr – and if not, why not yet?**
Answer first (slide 2) → why: company and model (3) → performance (4) → can we trust the figures? (5–6) → position, cash and working capital (7–8) → how the workbook supports it (9) → conditions for reassessment (10) → conclusion (11).

All figures are taken from the report and the Excel workbook. Actual adjustments (Caterpillar LIFO → FIFO, 2022 goodwill reclassification) are kept separate from illustrative sensitivities (provision charge, depreciation rate).



Good morning everyone. We are Simon, Adam, Zofia, Philipp and Zarah, and we present our financial analysis of the Liebherr Group for 2022 to 2025.

Our report is written for one reader: a long-term investor who thinks about buying a minority stake in Liebherr. So the whole presentation follows one question: should this investor invest – and if not, why not yet? Our benchmarks are Caterpillar and the average of listed US machinery companies.



We give you the answer first: not yet.

Liebherr is financially sound. Equity finances 53.5 per cent of total assets, and cash covers current debt 2.6 times, so the risk of financial distress is low.

But a strong balance sheet is not the same as a good investment. The operating margin was only 2.8 per cent – less than a fifth of Caterpillar and the industry – and free cash flow was negative in three of four years.

Our accounting tests do not improve this picture. They put the margin somewhere between 1.6 and 2.8 per cent. So our advice is: do not invest now, and reassess on the 2026 statements. Let us show you why.

COMPANY AND ENVIRONMENT

Diversification kept Liebherr growing while construction weakened

€14,772 m	55,963	13	1949
Revenue 2025, +1.0 %	Employees	Product segments	Family-owned · Bulle (CH)

Revenue 2025 by sector

63.3 % · Construction & mining · −5.5 %	36.7 % · Other · +14.7 %

€9,345 m vs. €5,427 m – components alone grew 35.5 %



External pressures

- **Demand:** European construction output forecast to grow only about 2 % a year until 2028
- **Prices and costs:** US tariffs and low-cost competitors – reported by Liebherr for its cranes
- **Financing:** ECB main refinancing rate 2.65 % (Sept. 2026) – machines cost customers more to finance

LIEBHERR'S OWN OUTLOOK

Orders at the start of 2026 above the previous year – further growth expected, but **no significant upswing before 2027**. US tariff policy remains a risk.

Source: Report, chapters 2 and 3 (§3.1.1) and §5.7; Liebherr-International AG (2026); EUROCONSTRUCT (2026); European Central Bank (2026)

03

Liebherr is a family-owned, unlisted group, founded in 1949, with almost 56,000 employees in 13 product segments.

In 2025 construction machinery and mining – almost two thirds of revenue – fell by 5.5 per cent, but the other segments grew by 14.7 per cent. That is why the group still grew a little.

The environment is difficult: European construction is expected to grow only about 2 per cent a year until 2028, US tariffs and low-cost competitors press on prices, and higher interest rates make machines more expensive to finance. Liebherr itself expects further growth in 2026, but no real upswing before 2027. So how does Liebherr compete in this market?

04 Competitive advantage

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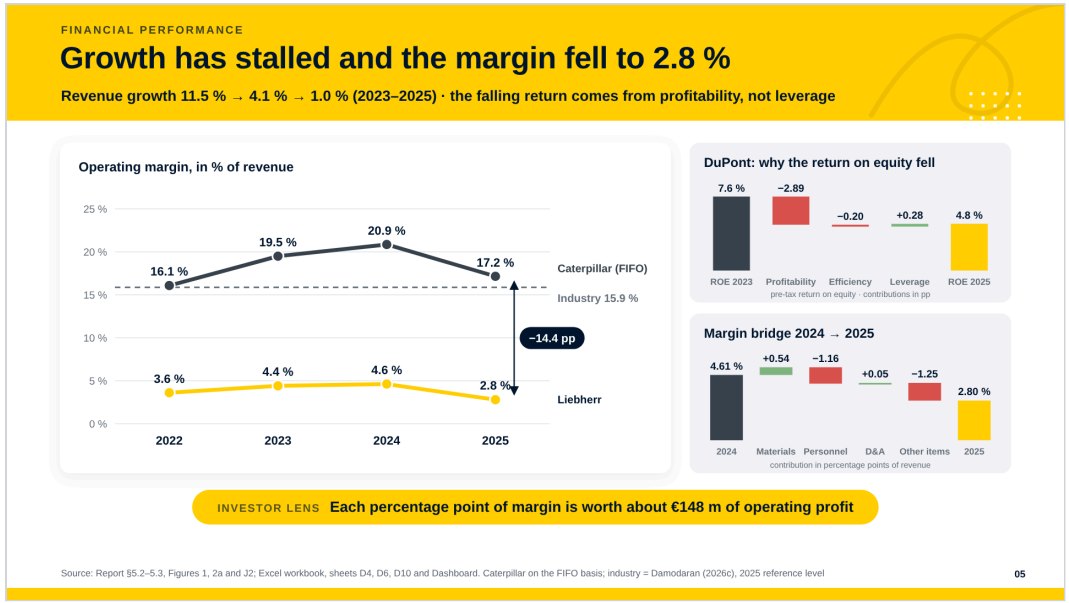


Liebherr competes in two ways: differentiation in its custom businesses, like cranes and mining, and scale in its volume businesses, like earthmoving. Three advantages support this.

First, diversification: 13 segments spread the risk – in 2025 the other segments grew while construction fell. Second, vertical integration: Liebherr builds key technologies itself and sells through its own companies, not through dealers. Third, innovation: research and development rose every year to 708 million euro, 4.8 per cent of revenue, more than Caterpillar.

But each advantage has a price. Diversification does not raise the margin. Vertical integration ties up capital – fixed assets are 29 per cent of revenue and inventories 43 per cent. And R&D kept rising while operating profit fell.

So the advantage is real, but it sits in the asset base, not yet in the margin. The question for the investor is whether it is turned into returns – and that is what the numbers show next.



Revenue growth slowed from 11.5 per cent in 2023 to only 1 per cent in 2025.

The bigger problem is the margin. The yellow line is Liebherr: around 4 per cent, then down to 2.8 per cent in 2025. Caterpillar, on a FIFO basis, earned 16 to 21 per cent, and the industry average is 15.9 per cent. The gap was 12.5 to 16.2 points in every single year – so this is not one bad year. Business models differ, but Caterpillar's machinery segment alone still earned 17 per cent.

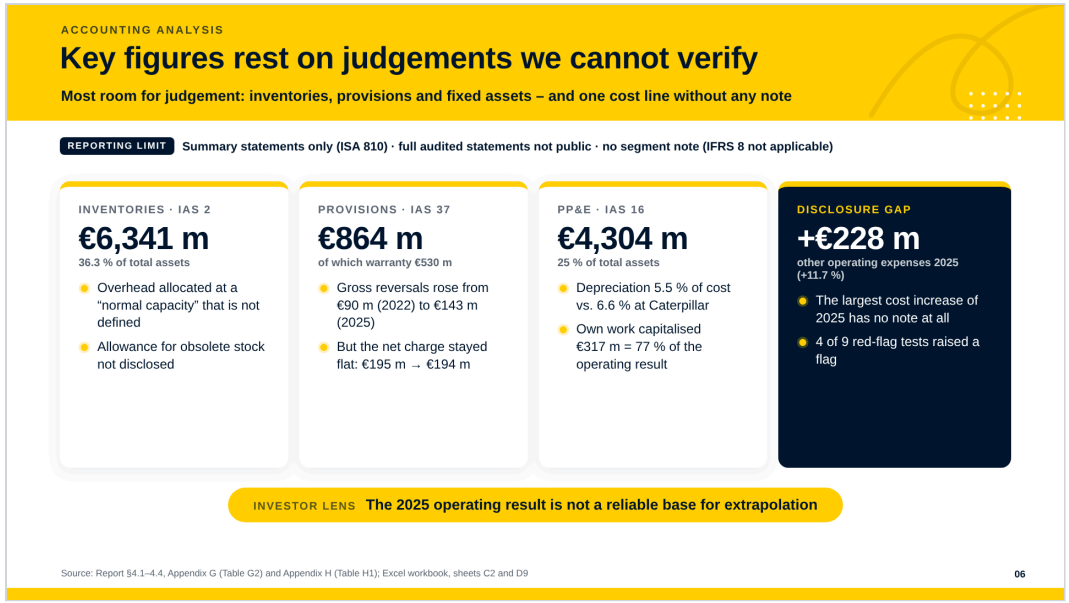
The bridge on the right explains 2025: personnel costs grew five times faster than revenue and cost 1.2 points, and other operating items cost another 1.25 points – without any explanation in the notes.

The DuPont analysis above it shows what this means for the owners. The pre-tax return on equity fell from 7.6 to 4.8 per cent. Almost all of it – 2.89 points – comes from lower profitability. Efficiency cost only 0.2 points, and leverage even added a little. So the problem is the margin, not the debt.

For the investor, each margin point is worth about 148 million euro. But can we trust the reported margin?

06 Accounting analysis – judgements

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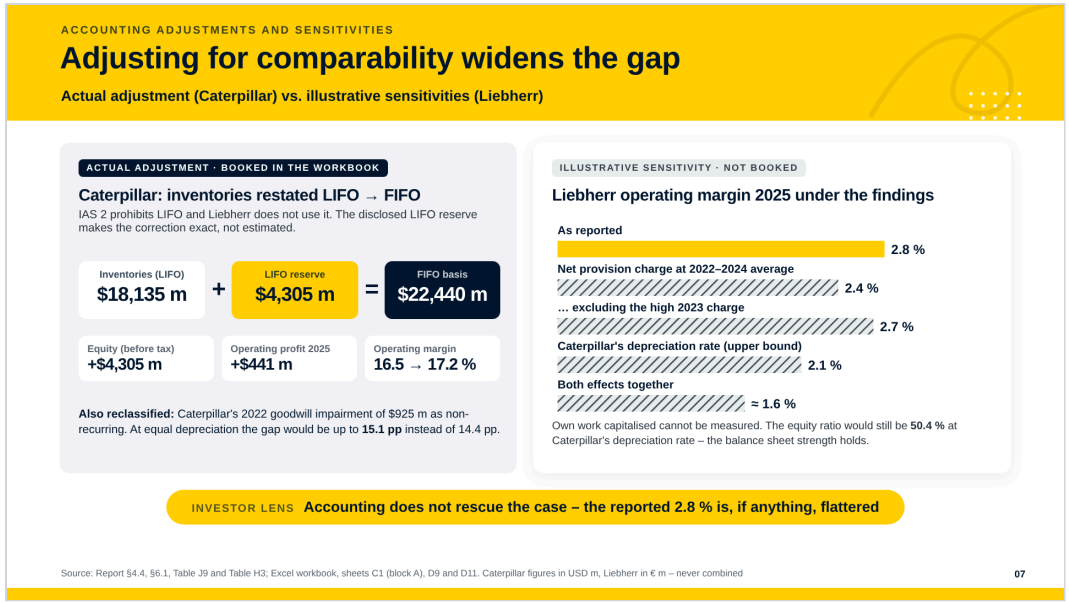
Before we trust the margin, we have to know what the figures measure. Liebherr publishes only summary statements – the full audited statements are not public, and there is no segment note.

Three accounts carry most of the judgement. Inventories of 6.3 billion euro: overhead is allocated at a normal capacity that is not defined, and the allowance for obsolete stock is not disclosed. Provisions: gross reversals rose to 143 million euro, but additions rose too, so the net charge stayed flat. Fixed assets: Liebherr depreciates more slowly than Caterpillar, and own work capitalised equals 77 per cent of the operating result.

The fourth box matters most for the investor: other operating expenses rose by 228 million euro, and there is no note at all. So the biggest cost increase of 2025 cannot be explained. In total, four of our nine red-flag tests raised a flag.

07 Accounting adjustments vs. sensitivities

1:05



We separate two things clearly. On the left is an actual adjustment we booked in the workbook; on the right are sensitivities we only measured.

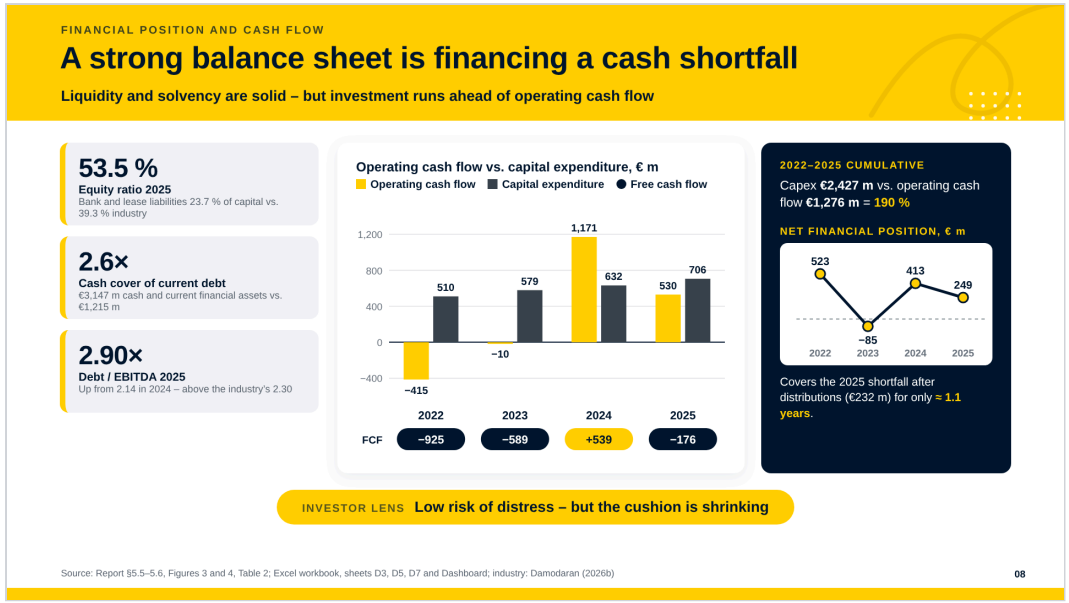
Caterpillar values most inventory with LIFO, which IAS 2 does not allow and Liebherr does not use. Caterpillar discloses its LIFO reserve, so the correction is exact: plus 4.3 billion dollars on inventories and equity, plus 441 million on operating profit. Its margin rises from 16.5 to 17.2 per cent. We also treated the 2022 goodwill impairment as non-recurring. So adjusting makes the gap bigger, not smaller.

For Liebherr we only illustrate: with a normal provision charge the margin would be 2.4 per cent; at Caterpillar's depreciation rate, an upper bound, 2.1 per cent; both together about 1.6 per cent.

So the accounting does not hide a better company – but the balance sheet strength survives: the equity ratio stays around 50 per cent.

08 Financial position and cash flow

1:00



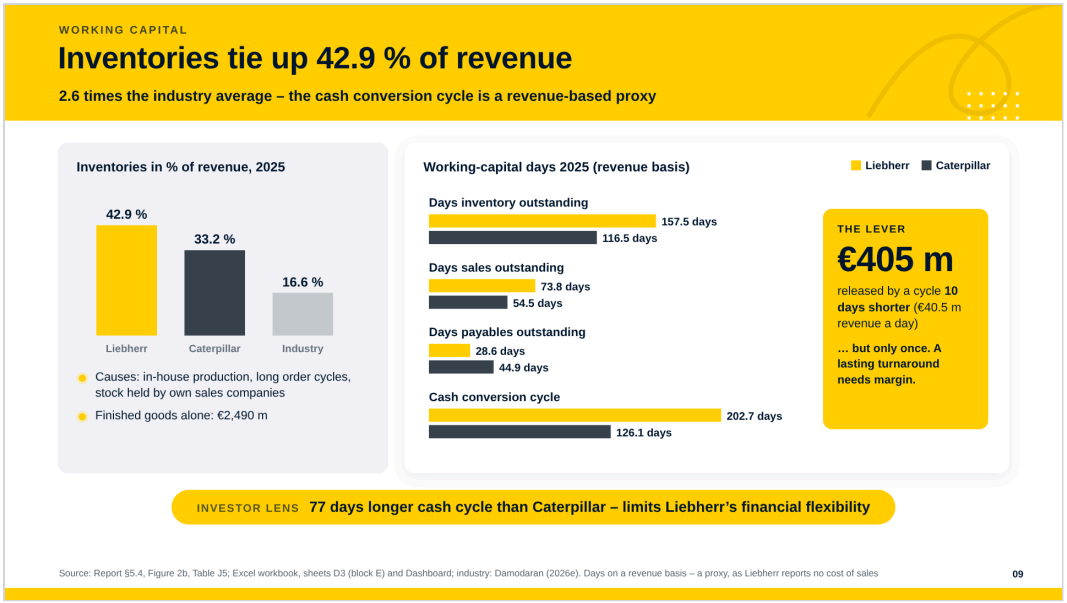
The balance sheet is Liebherr's clearest strength: 53.5 per cent equity, much less debt than the industry, and cash covering current debt 2.6 times.

But look at the cash. Yellow is operating cash flow, grey is capital expenditure. In 2022 and 2023 operating cash flow was even negative because Liebherr built up stock. Over four years it invested 2.4 billion euro but generated only 1.3 billion from operations – 190 per cent. Free cash flow was negative in three of four years.

So the cushion shrinks: the net financial position fell from 523 to 249 million euro, and debt to EBITDA rose to 2.9, above the industry. If the 2025 shortfall repeated, the cushion would last only about 1.1 years. The balance sheet buys time – it does not replace returns.

09 Working capital

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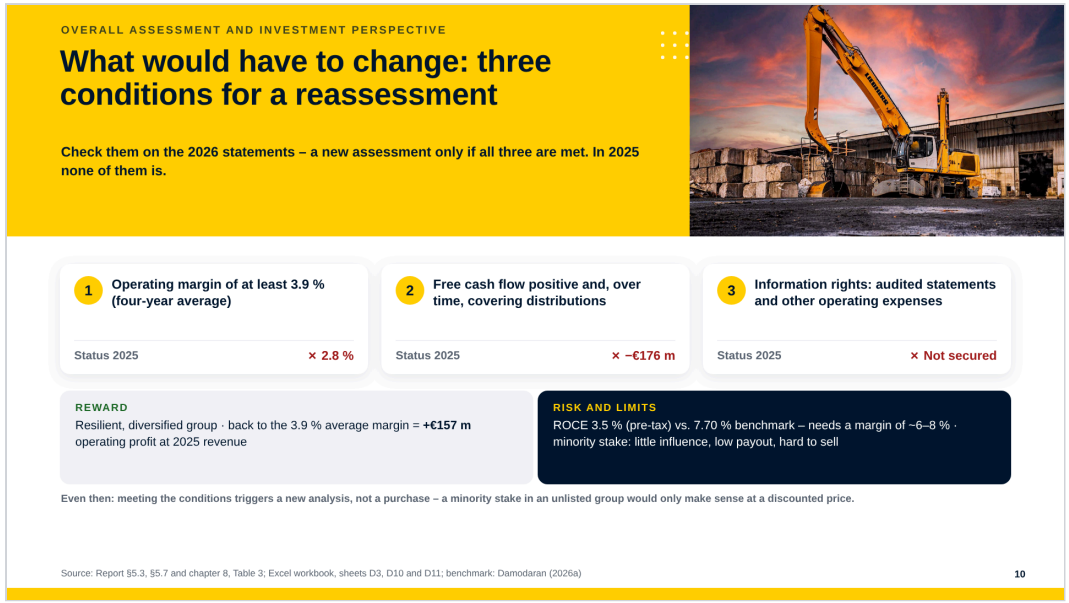
Where is the cash tied up? Mainly in inventories: 42.9 per cent of revenue, 2.6 times the industry.

Measured in days of revenue – a proxy, because Liebherr reports no cost of sales – the cash conversion cycle is about 203 days, 77 days longer than Caterpillar. Liebherr holds stock longer and pays suppliers faster.

This is the biggest lever management controls: ten days less would release about 405 million euro. But only once – so it cannot replace a better margin.

10 Investment assessment

1:00



So what would have to change before an investment makes sense? We set three conditions, and we check them on the 2026 statements.

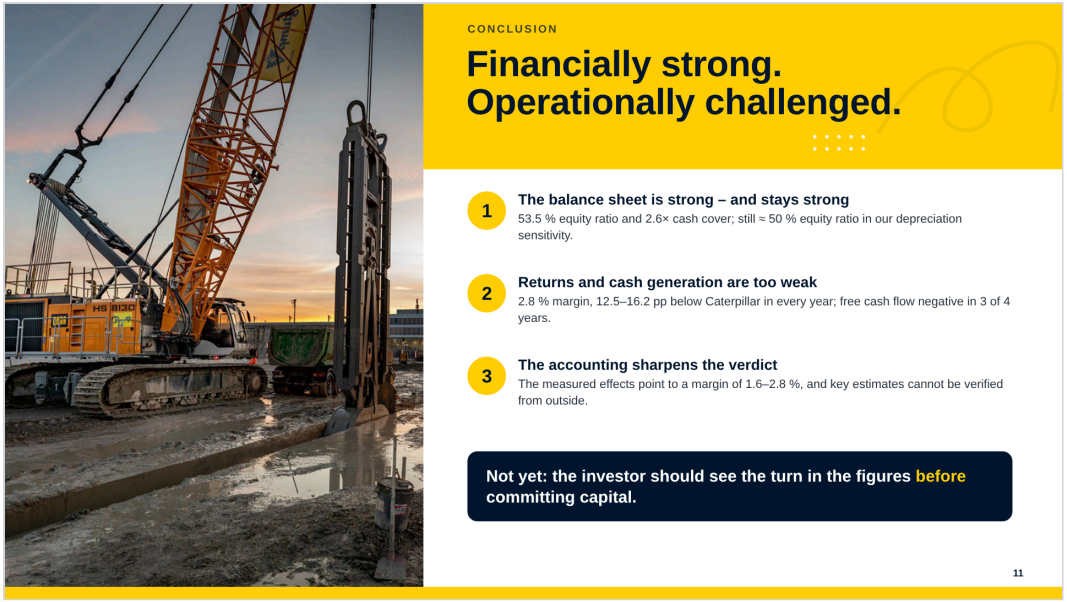
First, the operating margin should return to at least its four-year average of 3.9 per cent – in 2025 it was 2.8. Second, free cash flow should be positive and cover distributions – it was minus 176 million. Third, the investor needs information rights: the audited statements and the content of other operating expenses – the 228 million euro we just could not explain.

Even 3.9 per cent is only a trigger, not a good return. The return on capital employed was 3.5 per cent before tax, against a 7.7 per cent benchmark – that would need a margin of about 6 to 8 per cent.

The reward is real: the average margin alone adds 157 million euro of profit. But a minority shareholder has little influence, a low payout and shares that are hard to sell. So even if all three conditions are met, that starts a new analysis – and the price would have to include a discount for this.

11 Conclusion

0:40

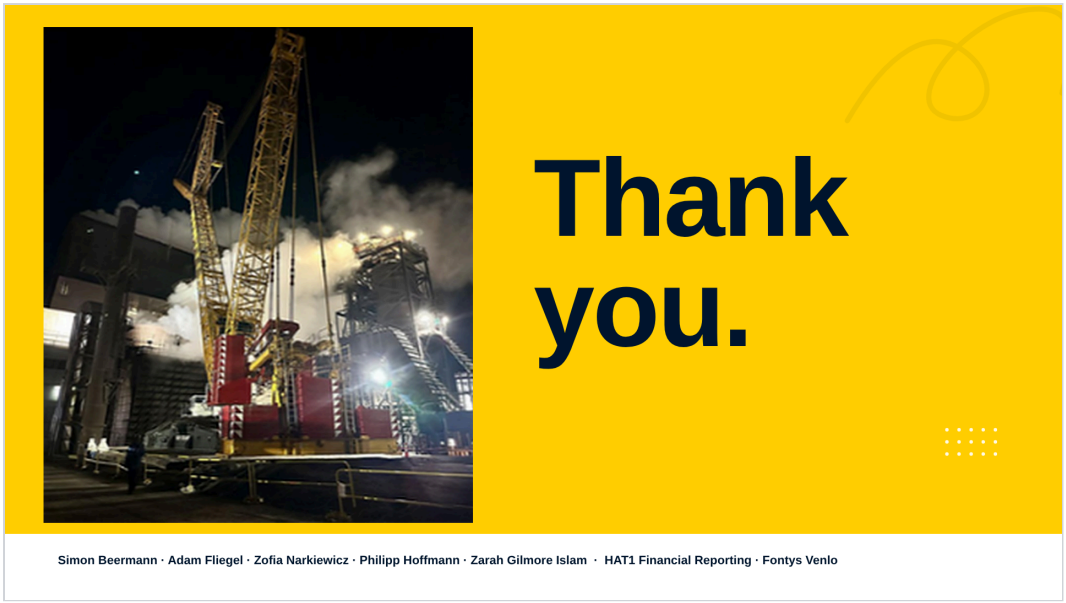


So, our answer to the central question: Liebherr is financially strong, but operationally challenged.

Three takeaways. The balance sheet is strong and survives our accounting tests. Returns and cash generation are too weak, and the gap to Caterpillar exists in every year. And the accounting analysis sharpens the verdict rather than softening it.

If the margin stays near 2.8 per cent in 2026 and the net financial position turns negative, the investor should drop the case. In one sentence: see the turn in the figures before committing capital.

12 Thank you



Thank you for your attention. We are happy to answer your questions.

Back-up figures for Q&A: ROCE 2024 5.9 % before tax at a 4.6 % margin; sustainable growth rate 2.4 %; personnel expenses 28.6 % of revenue (26.4 % in 2023); only €56 m of a €272 m profit distributed in 2025; a deferred tax liability on Caterpillar's LIFO reserve at 21 % would lower its equity ratio only from 24.9 % to 24.2 %.